

Custom
Managed
Portfolios

Aviso 5-year
Bond Ladder
(Taxable)

Quick facts

Asset class:
Canadian Bonds

Management style:
Income¹

Number of holdings:
10

Portfolio manager:
Aviso Wealth

Minimum investment:
\$100,000

Inception Date:
November 01, 2023



What does the strategy invest in?

This strategy will invest in high quality bonds, with a focus on capital preservation. The portfolio will consist of ten bonds, diversified across Federal, Provincial, and Corporate segments of the Canadian bond market, with a systematic maturity profile on an approximate six month rolling ladder. As holdings mature, the proceeds are reinvested into longer duration assets.

Bond ladders are a proven fixed income investment strategy that can reduce the impact of interest rate changes and minimize reinvestment risk to support a more predictable portfolio return profile. When interest rates rise, investors can take advantage of the higher rate by reinvesting the proceeds of the last matured bond. On the other hand, should rates fall, a large portion of the portfolio can still benefit from the original (higher) rates that applied when the initial investment was made. Staying disciplined and reinvesting the proceeds from maturing bonds can help investors to ride out interest rate fluctuations.

The **Taxable** bond ladder strategy will optimize tax-efficiency by prioritizing investments in bond issues that are trading at a material discount from par value where possible. While this results in a lower current income due to the lesser coupon payments, the tax treatment of the return is more efficient because a portion of that bond’s return is now treated as capital gains and taxed at a lower rate than interest income. This results in a higher after-tax return for the investor.

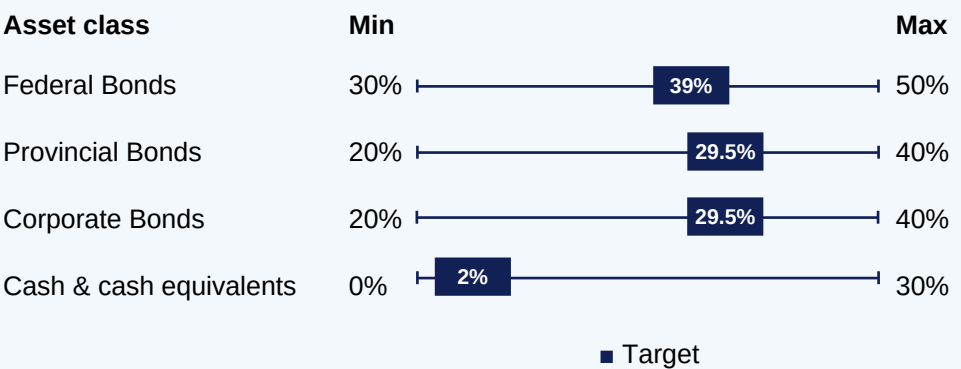
Current holdings

1. ONT PROV 2.65% 05FEB25	9.8%	6. ALTA PROV 2.55% 01JUN27	9.8%
2. MANULIFE BK 1.504% 25JUN25	9.8%	7. CDA HSG 80 2.35% 15MAR28	9.8%
3. CDA HSG 67 1.95% 15DEC25	9.8%	8. RBC 1.833% SR 31JUL28	9.8%
4. ONT PROV 2.40% 02JUN26	9.8%	9. CDA HSG 85 2.65% 15DEC28	9.8%
5. BMO 2.70% 09DEC26	9.8%	10. CDA GOVT 2.25% 01JUN29	9.8%

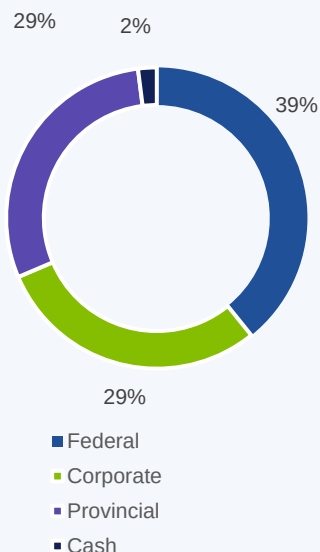
Portfolio attributes

Average yield to maturity (YTM)	Maturity weighted YTM	Average Current Yield (CY)	Maturity weighted CY	Average credit rating	Modified duration
3.0%	3.0%	2.3%	2.4%	AA	2.09

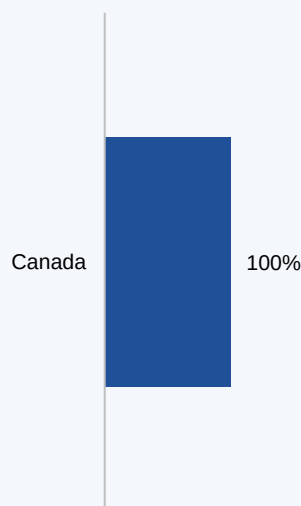
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Overview

Global Equity Markets

Global equity markets advanced, as measured by the MSCI All-Country World Index, driven by robust corporate earnings, easing inflation concerns, and resilient economic data from major economies. Excluding the US, global markets showed slower growth in Europe and Asia. The best-performing equity market globally was the international emerging market region, buoyed by strong performances in Taiwan, India, and South Africa. Conversely, the Canadian market was the worst performer, impacted by weaker oil prices and a slowing domestic economy. In Canadian dollar terms, the MSCI EM NR Index (CAD) led, while the S&P/TSX Composite TR Index remained the weakest due to sector-specific challenges.

Canadian Equities

Within Canada, the S&P/TSX Composite TR Index declined, primarily due to underperformance in the Information Technology, Real Estate, and Health Care sectors. The Information Technology sector faced competitive pressures and shifting consumer preferences. The S&P/TSX SmallCap Index outperformed the S&P/TSX 60 TR Index, as smaller companies benefited from domestic-focused economic activity. The best-performing sectors in Canada were Materials, Consumer Staples, and Energy, driven by rising metal prices and strong demand.

US Equities

In the US, the S&P 500 Total Return Index advanced, supported by positive economic data and strong corporate earnings. However, the market exhibited narrow breadth, with a large portion of the gains driven by a few mega-cap technology stocks. Notably, NVIDIA and Apple significantly contributed to the index's performance, reflecting their strong earnings reports and optimistic outlooks in the AI and consumer electronics sectors. NVIDIA's growth was particularly driven by its advancements in AI technology and data center demand, while Apple's performance was bolstered by growth in its services revenue. The NASDAQ Composite TR Index outperformed the Dow Jones Industrial Average TR Index, reflecting investor preference for growth and technology stocks. The larger-cap S&P 500 TR Index outperformed the smaller-cap Russell 2000 TR Index, indicating investor confidence in established, larger companies. The best performing sectors were Information Technology, Communication Services, and Utilities, while Energy, Industrials, and Materials sectors lagged due to fluctuating commodity prices and supply chain challenges.

International Equities

Within the EAFE (Europe, Australasia, and the Far East) regions, Denmark, Singapore, and Portugal led the performance, benefiting from relatively strong economic fundamentals. Denmark's market was driven by its pharmaceutical sector, while Singapore benefited from robust trade and financial services. Israel, Italy, and France were the worst performers, impacted by political uncertainties and weaker economic data. In emerging markets, Taiwan, India, and South Africa were the top-performing regions, driven by robust technology exports, economic reforms, and favorable commodity prices. Conversely, Indonesia, Brazil, and Mexico were the weakest, suffering from political instability, inflationary pressures, and currency volatility.

Global Factors

Among global factor indices, the MSCI World Quality Index performed the best, as investors sought companies with strong balance sheets and stable earnings. This performance was driven by investor flight to quality amidst economic uncertainties and market volatility. The MSCI World Value Index was the worst, as value stocks lagged in a growth-driven market environment. Growth stocks outperformed value stocks, reflecting investor preference for companies with higher earnings potential, especially in the technology and healthcare sectors.

Global Bond Markets

In the global bond market, the Bloomberg Canada Aggregate Index was the best-performing broad aggregate index, as declining yields and stable credit conditions supported bond prices. The Bloomberg Global Aggregate ex-US Index was the weakest, due to rising interest rates and weaker performance in international bonds. The Bloomberg Global High Yield Index led in terms of issuer type, supported by investor demand for higher yields, while the Bloomberg Global Government Index lagged, impacted by rising government bond yields globally.

Canadian Bond Market

In Canada, the Bloomberg Canada Corporate Index was the best performer, driven by strong corporate earnings and stable credit conditions. The Bloomberg Canada High Yield Bond Index was the weakest, as higher-risk bonds faced investor caution. Short-term bonds outperformed long-term bonds, as investors favored shorter durations amid interest rate uncertainty. Canadian government bond yields generally declined, with the yield curve remaining inverted, indicating investor concerns over near-term economic prospects.

US Bonds and Currencies

In the US, government bond yields generally advanced, reflecting concerns over persistent inflation and strong economic data suggesting resilient consumer spending and job growth. The yield curve remains inverted, indicating concerns over short-term economic stability. The Canadian dollar weakened against the US dollar, influenced by weaker commodity prices and a stronger US economic outlook. The US dollar appreciated broadly against major global currencies, performing strongest against the Brazilian Real, Mexican Peso, and Japanese Yen, due to higher interest rate expectations and economic resilience, and weakest against the Swiss Franc, Euro, and South African Rand.

Energy

In energy markets, WTI crude oil prices declined, and Brent crude prices also fell, amid concerns over global demand and higher inventory levels. Weakening economic data from China and expectations of slower global growth weighed on oil prices, despite OPEC+ production cuts aimed at stabilizing the market. Rising inventory levels, particularly in the US, also exerted downward pressure on prices as supply outpaced demand. Gas prices advanced significantly, driven by supply disruptions and higher demand.

Investment manager overview

The Aviso Investment Management team brings together top investment specialists and analysts, including four registered Portfolio Managers, eight CFA charter holders and more than 60 years of combined industry experience, to provide clients with a comprehensive range of professionally designed and managed financial products and solutions.

Investment philosophy

We adhere to a philosophy that encompasses the following principles:

- 1. Investment decisions are made in the best interests of our clients.
- 2. Investment decisions are made in accordance with the general level of risk appropriate for the specified mandate.
- 3. Investment decisions are made in accordance with defined prudent standards; and
- 4. Investment practices adhere to the principles of quality (or safety) of the investment and overall risk diversification.

Investment process and risk controls

The primary investment objective of the strategy is to generate a steady stream of high-quality income (in Canadian dollars) and to minimize trading cost. This strategy will follow a disciplined and systematic laddered investment strategy and will comprise only of high-quality bond holdings.

Credit Rating – the strategy will be invested in high quality bonds, with a credit rating minimum of S&P/Moody’s/Fitch/DBRS credit rating of A-/A3/A-/A(low). Any of the holdings that are downgraded below this threshold will be sold and replaced with a similar maturing bond with the same intended characteristic.

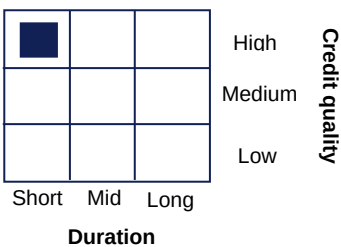
Maturity – the strategy will be constructed on a six-month ladder T + 5 year rolling basis.

Individual Security Holding Limits – the bond ladder is equally divided between all of the holdings; this will result in rolling consistent maturity interval; targeted size is 10% for each security.

Issuer – There are no issuer restrictions within the federal and provincial bond holdings provided that other criteria for ownership have been met; there can only be one corporate issuer per corporate bond holding within the portfolio at a given time.

Term limits – the maximum term to maturity at the time of purchase is 5.5 years; this will be the term of the last laddered issue, while providing a buffer if selection is limited.

Fixed income style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins



¹ Income: To generate a steady stream of income.

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

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